

Summary

European Business & Economics



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THE EUROPEAN UNION CONTEXT.

1. INTRODUCTION.

1.1. The history of the European Union.

1.1.1. Creation of the Organization for Economic Cooperation and Development (OECD).

Three years after the end of the war in Europe, the United States decided to grant massive aid to countries wishing to finance their reconstruction: this was the **Marshall Plan**.

The Paris-based Organization for European Economic Cooperation took over distribution of American aid. In 1961, it was renamed the Organization for Economic Cooperation and Development (OECD). Expanded to cover the entire developed world, the OECD now has 37 members.

1.1.2. The birth of NATO.

In 1948, under the Treaty of Brussels, the United States guaranteed the security of France, Belgium, Luxembourg, the Netherlands and the United Kingdom. A year later, five other European countries joined the Brussels "Five" to form the North Atlantic Treaty Organization, a military alliance against the Soviet threat.

West Germany joined in 1955, following the failure of the European Defense Community (EDC).

1.1.3. The Schuman Treaty.

On May 9, 1950, French Foreign Minister Robert Schuman proposed pooling French and German coal and steel production to "*make war not only unthinkable, but materially impossible*".

Considered the birth certificate of European integration, the **Schuman Treaty** is a declaration that paved the way for the **European Coal and Steel Community (ECSC)**, created in 1951 by six countries: France, West Germany (FRG), Italy, Belgium, the Netherlands and Luxembourg.

1.1.4. The Treaties of Rome.

In 1957, the Six continued their discussions and signed the **Treaties of Rome** in 1957, which created two new "communities":

- **European Economic Community (EEC)**: establishment of a common market between its member countries;
- the **European Atomic Energy Community (EAEC or Euratom)**: to ensure energy self-sufficiency through nuclear power.

In 1968, the Customs Union was completed.

1.1.5. The Maastricht Treaty.

In 1992, the **Maastricht Treaty** established a European Union between the 12 member states of the Community (Belgium, Denmark, France, Germany, Greece, Ireland, Italy, Luxembourg, the Netherlands, Portugal, Spain and the United Kingdom). This was the founding treaty of the EU as we know it today.

It brings together three fields of action, or "pillars". These are grouped under a common "umbrella", whose official title for the first time is "the European Union".

1.1.6. The Lisbon Treaty.

In 2007, the **Lisbon Treaty** was signed. It amends the existing European treaties (295 amendments) but does not bring them together in a single text.

The Lisbon Treaty does not transfer any new exclusive powers to the European Union, but changes the way it exercises its own powers, and confers new shared powers on it.

1.2. The story of the EuroZone.

In June 1988, the European Council confirmed the objective of establishing, in stages, an **Economic and Monetary Union** (EMU). It set up a committee under the chairmanship of Jacques Delors, President of the European Commission, to study and propose concrete steps towards this union.

The "Delors Report" drafted by this committee proposed three successive phases to achieve EMU.

1.2.1. Phase 1: Legal preparations.

On July 1st 1990, the first phase of Economic and Monetary Union (EMU) was launched. In principle, this date was to mark the abolition of all restrictions on capital movements between member states.

To achieve Phases II and III of EMU, the Treaty establishing the European Economic Community (**Treaty of Rome**) had to be revised to put in place the requisite institutional structure. To this end, an intergovernmental conference on EMU was convened in 1991, at the same time as the intergovernmental conference on political union.

1.2.2. Phase 2: Creation of the IME and ECB.

The second stage began on January 1st 1994. It introduced greater coordination of economic policies, aimed at reducing inflation, interest rates and exchange rate fluctuations, as well as limiting national deficits and public debt.

These so-called Maastricht criteria are designed to ensure the convergence of member states' economies, a prerequisite for the use of a single currency. The transition is being prepared by the EMI, the European Monetary Institute.

1.2.3. Phase 3: Irrevocable fixing of exchange rates.

On January 1st 1999, the final phase of the EMU was set, with the irrevocable fixing of conversion rates for the currencies of the eleven participating member states from the outset, and the implementation of a single monetary policy under the responsibility of the ECB. On the day a country joins the euro zone, its central bank automatically becomes a member of the Eurosystem.

2. THE INSTITUTIONAL TRIANGLE.

2.1. The European Commission .

The **European Commission's** main function is to initiate legislation. It initiates the legislative process by proposing measures in all the European Union's areas of competence.

It also proposes the EU budget each year and, as the Union's executive power and "guardian of the Treaties", can sanction a member state which fails to comply with them.

Based in Brussels (Berlaymont), it is made up of 27 commissioners (one per member state) appointed for five years, including its current president, Germany's Ursula von der Leyen.

The European Commission's proposals are then amended, approved or rejected by the European Parliament and the Council of the European Union.

2.2. The European Parliament .

Elected by direct universal suffrage every five years, the **European Parliament** represents the citizens of Europe. It is located between Brussels and Strasbourg.

The European Parliament is made up of 705 MEPs who sit in transnational political groups (8 in total) and work in technical committees on all areas of EU competence. MEPs meet approximately once a year per month in plenary session in Strasbourg to vote on legislative proposals.



2.3. The different Tips.

2.3.1. The Council of the European Union.

After the European Parliament, the **Council of the European Union** decides on European legislation and budgets.



Located in Brussels (Justus Lipsius building), it is made up of ministers from the 27 member states, and meets around a hundred times a year in specific areas (Agriculture, Foreign Affairs, Economy, etc.). It can modify, adopt or reject proposals for directives or regulations previously amended by the European Parliament.

In most cases, the Council votes by qualified majority, with each state having a particular weighting in the vote according to its population. The Presidency of the Council of the European Union is held every six months by a different country.

2.3.2. The European Council.

The **European Council** is the driving force behind most major European decisions. It is made up of the 27 heads of state (president/prime minister) and defines, unanimously in most cases, the major orientations of the EU. At the highest level, it also plays a role in coordinating, arbitrating and resolving difficult issues.



2.3.3. The Council of Europe.

The Council of Europe has nothing to do with the European Union, and is an international organization for the defense of human rights and democracy comprising [46 member states](#).

2.4. The European Central Bank (ECB).

The **European Central Bank** (ECB/BCE) is the central bank for European Union countries using the euro. Its main mission is to maintain price stability, ensuring that inflation remains low, stable and predictable, in order to help the European population plan their spending and saving.



Every card payment and digital money transfer within the EU relies on these services, which support the market infrastructure in the background, a network that promotes the fluidity and efficiency of money circulation within countries and across borders.

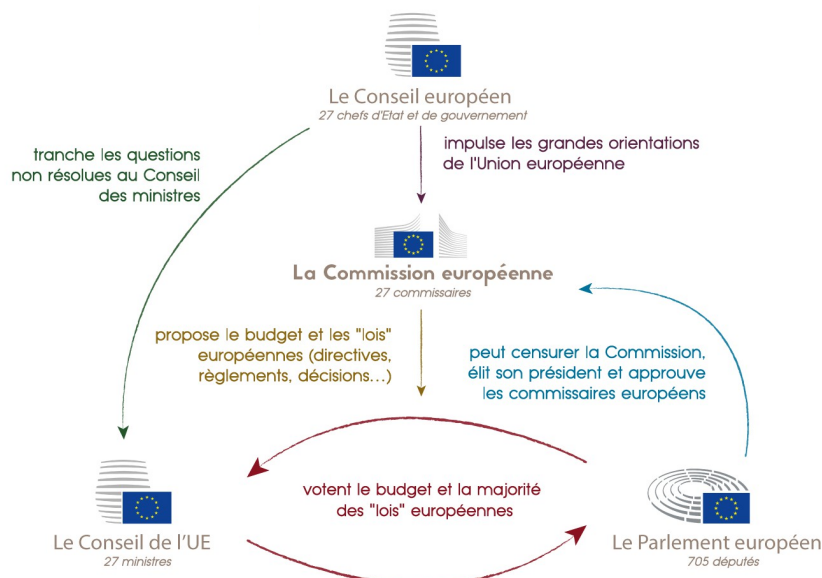
2.5. The European Court of Justice.

The **Court of Justice of the European Union** ensures that European law is complied with, not only by monitoring the actions of other institutions, but also by monitoring its application by member states.



Based in Luxembourg, it is made up of 27 judges, one from each member state. Their term of office, which is renewable, is six years. The latter appoint the President and Vice-President for a three-year term, also renewable. The President directs the work of the Court of Justice, presiding over the hearings and deliberations of the larger panels.

3. THE EU DECISION-MAKING PROCESS.



4. INSTITUTIONAL AND SUBSTANTIVE LAW.

4.1. Primary Law.

Primary Law is the supreme source of European Union (EU) law. It derives essentially from the founding treaties, notably the Treaty of Rome (renamed the Treaty on the Functioning of the European Union) and the Treaty of Maastricht (also known as the Treaty on European Union).

Primary Law defines the division of powers and responsibilities between the EU and the Member States.

EU Member States, and provides the legal context in which EU institutions formulate and implement policies.

4.2. The Treaty on European Union (TEU).

The **Treaty on European Union** (TEU) defines the objectives of the EU, the principles governing the operation and organization of its institutions, the procedures for taking decisions or amending the Treaties, and the relations between the EU and its member states.

It comprises a preamble, six titles (common provisions, democratic principles, institutions, enhanced cooperation, external action/CFSP, final provisions) and protocols, annexes and declarations.

Introduced by the Maastricht Treaty (1992), it was amended at Amsterdam (1997), Nice (2001) and Lisbon (2009). Its current version is called "consolidated".

4.3. The Treaty on the Functioning of the European Union (TFEU).

The **Treaty on the Functioning of the European Union** (TFEU) sets out the EU's competences, its major policies (internal market, agriculture, free movement, economy, external action, etc.), its links with overseas France and the operating rules of the European institutions.

It comprises a preamble, seven parts (principles, non-discrimination and citizenship, internal policies and actions, association of overseas countries and territories, external action, institutional and financial provisions, general and final provisions) and protocols, annexes and declarations.

The TFEU was set up with the European Economic Community (1957), then modified several times until the Lisbon Treaty of 2009. Its final version is called "consolidated".

4.4. Secondary Law.

Secondary Law is the body of law based on the EU Treaties. It is thus distinguished from Primary Law, which consists mainly of the Treaties, in particular the :

- Treaty of Rome, which evolved into the Treaty on the Functioning of the European Union (TFEU);
- Treaty on European Union, based on the Maastricht Treaty;
- Euratom Treaty.

European institutions can therefore adopt five types of legal act: regulations, directives, decisions, recommendations and opinions.

4.5. European legislation by sector.

The European Union has a number of legal instruments at its disposal. These are used to develop or coordinate policies, to take measures and launch programs, to facilitate policy implementation and to advise member states. Legal instruments are divided into two categories: binding and non-binding. Legal instruments specifically set up to implement EU acts are binding, but have been placed in a final, third section.

Depending on the policy, measure, action or advice the EU wishes to implement, it may use one or more legal instruments. In some cases, only specific instruments can be used. Only one instrument is selected for each individual procedure.

4.6. The single market.

The Single Market is the European area within which goods, services, capital and people (the "four freedoms") can circulate without obstacles. It comprises the countries of the European Union and four other countries in the Schengen area: Iceland, Norway, Liechtenstein and Switzerland.

The free movement of goods is based in particular on the abolition of customs duties within the European market. The free movement of services enables service providers to carry out their activities in any member state, without discrimination. The free movement of capital prohibits all restrictions on capital movements, both between member states and between member states and third countries.

Finally, the free movement of people allows European citizens and their family members to travel, study, work and live in other countries of the internal market. This is facilitated by the abolition of border controls between members of the Schengen area.

4.6.1. Differences with the Customs Union.

Initially, the free movement of goods was seen as part of a customs union between member states, involving the abolition of customs duties, quantitative restrictions on trade and measures having equivalent effect, as well as the creation of a common customs tariff for the Union.

Subsequently, the focus was on removing all remaining obstacles to the free movement of goods, with a view to creating the single market.

4.6.2. The differences with the Common Market.

The Common Market is the blueprint for the Single Market established when the Treaty of Rome was signed in 1957.

The Common Market was modified in the 1990s to form the Single Market.

4.6.3. Differences with the Economic and Monetary Union (EMU).

All EU member states are part of the Economic and Monetary Union, and together form the Single Market. They retain control of their economic policies, with the exception of monetary policy for those in the euro zone, but take their decisions in close coordination, taking account of EU rules and recommendations.

The single market, characterized by the free movement of goods, services, people and capital, completes the EMU (which is made up of the 20 member states that have already adopted the single currency - the euro).

4.7. Ordinary Legislative Procedure (OLP).

Under the Lisbon Treaty, co-decision is now officially known as the Ordinary Legislative Procedure (OLP), and is the default procedure for the adoption of legislative acts at Union level, covering the vast majority of the Union's areas of activity.

The main feature of the ordinary legislative procedure is the joint adoption, on an equal footing, of legislative acts by Parliament and the Council. The procedure begins with a legislative proposal from the Commission (usually a regulation, directive or decision), which is sent simultaneously to Parliament and the Council. There is a maximum of three readings.

At first reading, Parliament and the Council examine the Commission's proposal in parallel. However, it is first the Parliament that takes a decision by simple majority (i.e. a majority of the votes cast), in principle on the basis of a report adopted by one of its committees. The second reading of the ordinary legislative procedure is quite similar to the first reading, except that each co-legislator has a period of three months, which can be extended by one month, to adopt its position.

Conciliation is the third and final stage in the ordinary legislative procedure.

ORDINARY LEGISLATIVE PROCEDURE



5. EUROPEAN POLICY AND TRADE.

5.1. European Union trade.

The European Union is one of the world's most outward-looking economies. It is also the world's largest single market. The establishment of a free trade zone between its member states was one of its founding principles, and opening up world trade is one of its objectives.

Between 1999 and 2010, the EU's foreign trade doubled, and today represents over 30% of the Union's gross domestic product (GDP). The EU is responsible for the trade policy of its member states, and negotiates agreements on their behalf. By speaking with one voice, the EU carries more weight in international trade negotiations.

5.2. Free trade agreements with the European Union.

EU trade agreements shape trade relations with non-EU countries, with the aim of creating better business opportunities and overcoming barriers to trade.

5.2.1. The Transatlantic Trade and Investment Partnership (TTIP).

The **Transatlantic Trade and Investment Partnership** (TTIP) aims to eliminate a large number of other tariff and regulatory barriers between the United States and the European Union, extending regulation to areas not covered by the World Trade Organization (WTO).

In addition, the agreement reveals a strong ambition to strengthen ties between the European Union and the United States, and to maintain global influence in the face of competing powers, including emerging economies.

5.2.2. The Comprehensive Economic and Trade Agreement (CETA).

The **Comprehensive Economic and Trade Agreement** (CETA) is a bilateral free trade agreement between the European Union and Canada. Signed on October 30, 2016, it partially entered into force on September 21, 2017.

This agreement drastically reduces tariff and non-tariff barriers to trade. It also covers many other aspects related to export of goods and services, as well as investment opportunities for European and Canadian companies.

In practice, it will reduce import barriers by almost 99%, enable Canadian and European companies to participate in each other's public procurement, services and investment markets, and strengthen cooperation between Canada and the EU in terms of standards and regulation. The CETA is thus a "new generation" treaty, as it does not apply only to customs duties, unlike traditional free-trade agreements.

5.2.3. The Southern Common Market (MERCOSUR).

The **Southern Common Market** (MERCOSUR) is a free trade area for goods and services in Latin America. It comprises four countries: Argentina, Brazil, Paraguay and Uruguay. Bolivia is in the process of joining, and Venezuela was suspended in 2016 for political reasons. Chile, Colombia, Ecuador, Guyana, Peru and Surinam are associate members of Mercosur.

Its member states are developing a common trade policy and coordinating several of their policies. Certain legislation and practices have also been harmonized to ensure the smooth operation of this market. The four countries are, for example, in the process of abolishing additional telephone charges when their citizens travel to another member state, as already exists in the European Union.

Mercosur took shape with the Treaty of Asunción (Paraguay), signed on March 26, 1991. Sometimes considered the 3rd largest economic bloc after the European Union and the Canada/United States/Mexico trio, Mercosur accounts for over 80% of South American GDP.

5.3. Free exchange tools.

To make trade as easy as possible, the European Union has created various tools for its Member States.

5.3.1. Common Customs Tariff (CCT).

Since the completion of the internal market, goods can move freely between member states. The Common Customs Tariff (CCT) therefore applies to the import of goods across the EU's external borders.

This tariff is common to all EU members, but customs duties differ from one type of import to another, depending on what it is and where it comes from. Rates depend on the economic sensitivity of the products.

5.3.2. Sales policy.

The European Union manages its trade and investment relations with third countries through its trade and investment policy.

Trade outside the EU is the exclusive responsibility of the EU, rather than the national governments of member countries. This means that EU institutions make laws on trade issues, and negotiate and conclude international trade agreements.

The EU's responsibilities cover:

- trade in goods and services ;
- commercial aspects of intellectual property (patents) ;
- public procurement, and ;
- foreign direct investment.

OPERATION : EUROPEAN ECONOMIC GOVERNANCE.

1. EUROPEAN ECONOMIC GOVERNANCE.

International trade theory is the branch of economics that seeks to explain the causes of international trade, as well as its effects on variables such as employment, exchange rates and economic growth. It is also concerned with modeling these exchanges of goods and services.

There are many different theories of international trade.

1.1. The theory of comparative advantage.

The theory of comparative advantage is a key argument in favor of free trade policies. It postulates that if two conditions are met, two agents can obtain more goods than in a surplus situation.

These conditions include the need for each agent to specialize in the production for which it has a comparative advantage, and the terms of trade enabling each agent to buy the production of another agent on more favorable terms than it had produced itself.

This theory is often used in international trade to explain why free-trade policies are more favorable than protectionist policies. The theory assumes that if the terms of trade are not favorable, trade will not take place, and that market mechanisms will ensure that each country specializes in the production for which it has a comparative advantage.

1.2. Trading blocks.

Trading blocs are groups of countries that conclude trade agreements with each other. Trade blocs can include :

- free trade zones: elimination of customs duties between the economies of the trading bloc
- Customs union: free trade area and common external tariff with non-members
- Economic union/single market: customs union with common rules and regulations.

1.3. Balance of payments.

The balance of payments is a statistical document drawn up in accounting form as part of the national accounts, listing the flows of goods, services, income, capital transfers and financial flows that the residents of a country as a whole (individuals, companies or governments) maintain with those of the rest of the world.

By construction, the balance of payments is always balanced, except for errors and omissions, because transactions are recorded according to the double-entry accounting principle.

In fact, no exchange can take place without having been financed. On the other hand, intermediate balances (sub-balances) can be in surplus or deficit. Thus, it is a common misnomer to say that the balance of payments is in deficit, when what is really meant is that the balance of current transactions (or sometimes the balance of trade) is in deficit (higher imports) or surplus (higher exports).

1.4. Integration theory.

Regional integration is a process of economic, political or social rapprochement involving different countries. The different levels of integration are :

- Free trade zone: elimination of customs duties and quantitative import restrictions
- Customs union: a free-trade zone with a common trade policy and a common external tariff.
- The common market: customs union with liberalization of production factors
- Economic union: common market with harmonized economic policies
- EMU: economic union with common currency and monetary policy
- Political union: the final stage, with states relinquishing sovereignty over their economic, social and political policies.

1.5. The incompatibility triangle.

The incompatibility triangle is an economic principle which states that it is impossible for a national economy to achieve three economic objectives simultaneously: a fixed exchange rate, an independent monetary policy and the free movement of capital.

Fixed exchange rates promote foreign trade by providing a stable monetary environment. Monetary policy autonomy enables interest rates to be set according to the needs of the national economy, to combat inflation or unemployment, or to promote growth. The free movement of capital promotes trade and the best allocation of funds, and enables access to capital under the best possible conditions.

However, a national economy cannot achieve all three objectives simultaneously. It is necessary to abandon one in order to achieve the other two. If an economy's interest rates fall, capital will leave the country in search of more lucrative rates. The outflow of capital increases the supply of the national currency on the foreign exchange market, creating pressure to depreciate the currency. Conversely, a rise in the interest rate leads to an inflow of capital and pressure to appreciate the currency.

2. MACROECONOMIC FUNDAMENTALS.

2.1. Economic policy.

European economic policy is organized by three bodies: the Parliament, the Council of the EU and the European Council. The European Central Bank (ECB) manages the eurozone's monetary policy. The EU's budgetary policies are conducted by the Parliament.

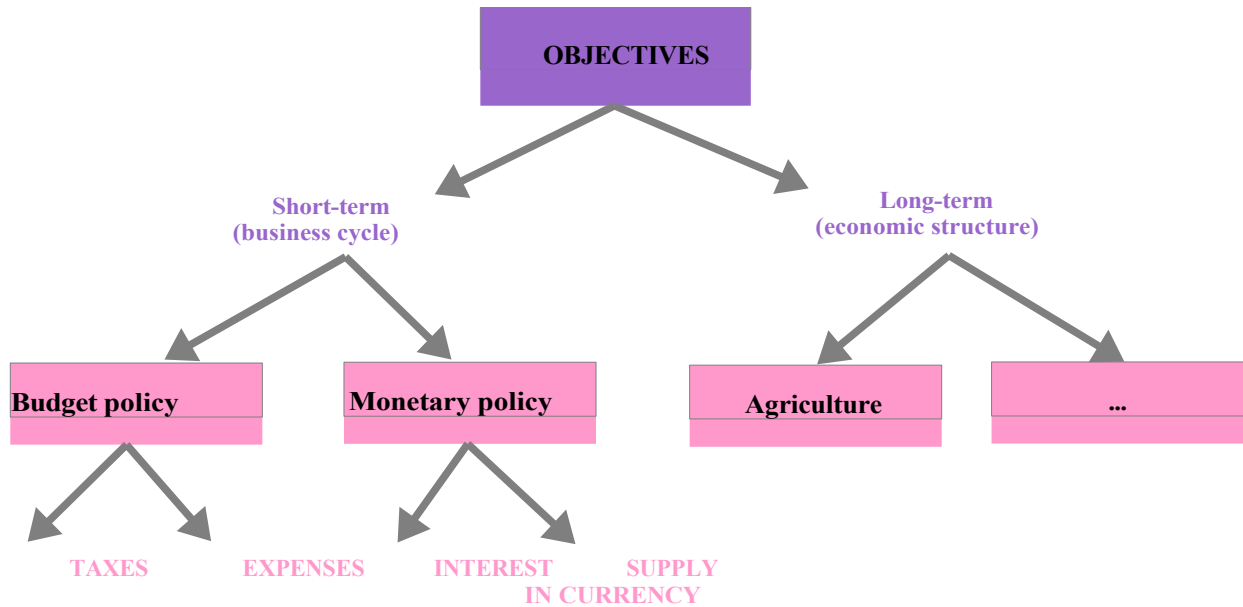
2.2. European economic governance.

The introduction of the euro led to the transfer of monetary and exchange rate policy responsibilities to the ECB. At the same time, competence for economic policies, such as budgetary and labor market policies, remains largely in the hands of national policymakers.

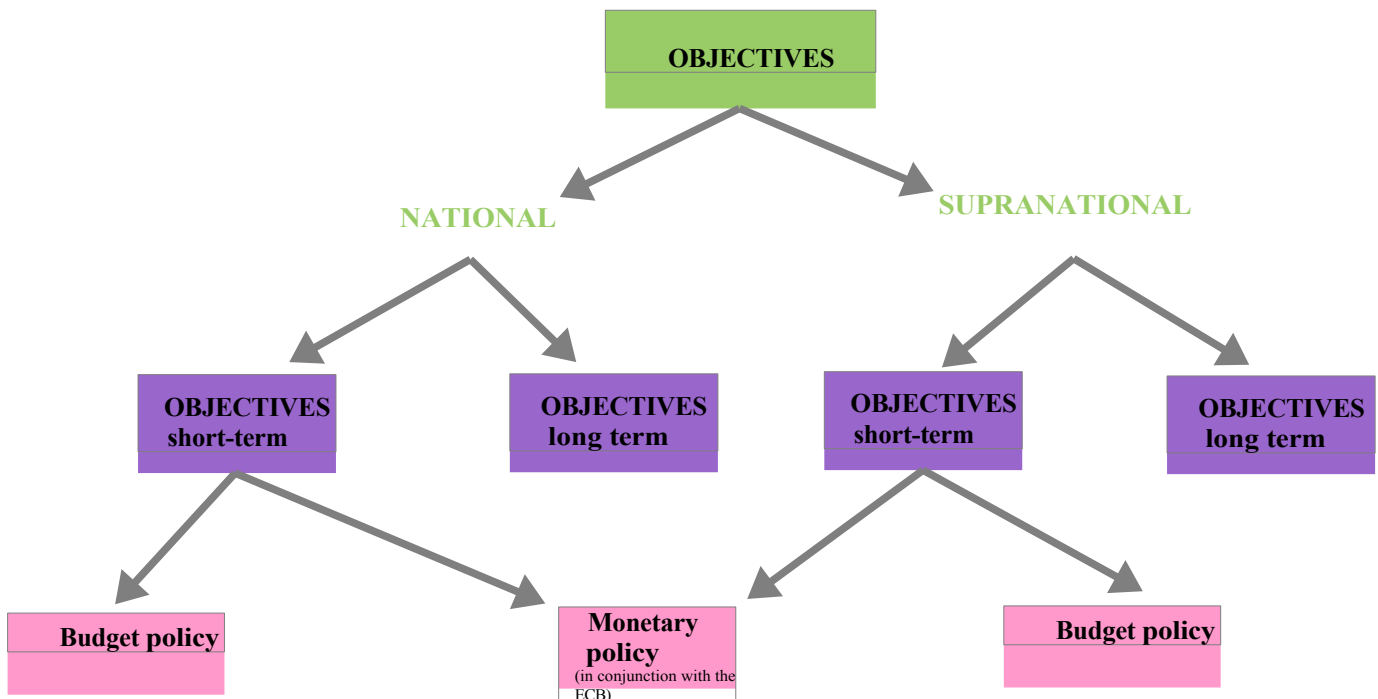
The EMU's multi-level governance structure reflects, among other things, an economic reality: the strong interdependence of the EU's economies, stemming from the single currency and the European single market.

These interconnections produce contagion effects between member states, particularly those participating in the monetary union, which can be observed when decisions taken by one member state, or economic developments recorded there, have a strong knock-on effect on other member states.

MACRO-ECONOMIC POLICY AT NATIONAL LEVEL



MACRO-ECONOMIC POLICY AT EUROPEAN LEVEL



2.3. Macro-economic policy.

The Macroeconomic Imbalance Procedure (MIP) is a monitoring and control mechanism designed to prevent and correct macroeconomic imbalances within the Union. It is part of the European Semester for economic policy coordination.

3. SHORT-TERM" POLICY.

3.1. Monetary policies.

Monetary policy covers the decisions taken by a central bank to influence the cost and availability of money in an economy. The primary mandate of the European Central Bank (ECB) is to ensure price stability, while the US Federal Reserve (FED) aims for both price stability and full employment. In terms of price stability, both central banks have set themselves a medium-term inflation target of 2%.

3.1.1. The single currency.

The euro has eliminated the costs of exchange rate fluctuations within the euro zone. Consumers and businesses in the euro zone are therefore protected from the costly fluctuations in currency markets which, in some countries, discouraged investment and led to economic instability.

Before the euro, the need to exchange currencies led to additional costs, risks and a lack of transparency in transactions between countries. Thanks to the single currency, doing business and investing in the euro zone is easier, cheaper and less risky.

By making it easier to compare prices, the euro encourages trade and investment of all kinds between countries. It also helps consumers and businesses get the best prices.

3.1.2. Interest rates.

The interest rates on the main refinancing operations, the marginal lending facility and the deposit facility will remain unchanged at 4.50%, 4.75% and 4.00% respectively.

The ECB can influence three main interest rates: the interest rate on the main refinancing operations (corporate customers), the marginal lending rate on overnight loans (banks) and the deposit rate (consumers).

3.1.3. Exchange rates.

Reference rates are generally updated around 4 p.m. CET on each business day, with the exception of Target closing days.

They are based on the daily concertation procedure between Europe's central banks, which normally takes place at around 2:10 p.m. (Central European Time). Reference rates are published for information purposes only. We strongly advise against using these rates for transaction purposes.

3.2. Macro-prudential policy.

The ultimate aim of macro-prudential policy is to preserve financial stability. This includes increasing the resilience of the financial system and limiting the build-up of vulnerabilities, in order to mitigate systemic risk and ensure that financial services continue to be provided efficiently to the real economy.

3.2.1. Supervisory bodies.

Macro-prudential policy is the mission of the European Central Bank, a European Union institution at the heart of the Eurosystem and the Single Supervisory Mechanism (SSM).

3.2.2. Monitoring.

Systemic risks can result from severe macroeconomic shocks, financial imbalances (e.g. excessive credit growth, leverage and maturity mismatches) and contagion effects.

In order to contain systemic risks, macro-prudential policies aim to :

- prevent excessive accumulation of risk, due to external factors and market failures, in order to smooth the financial cycle (time dimension),
- strengthen the resilience of the financial sector and limit contagion effects (cross-functional dimension),
- foster a system-wide perspective in financial regulation, with a view to creating the right set of incentives for market participants (structural dimension).

3.2.3. Surveillance.

Micro-prudential supervision and macro-prudential policy complement each other through their different orientations. Micro-prudential policy strengthens the resilience of individual financial institutions, while macro-prudential policy improves resilience in the face of risks to the financial system as a whole.

Regular meetings of the Macro-prudential Forum, which brings together members of the ECB Governing Council and the Prudential Supervisory Council, are designed to ensure a common understanding of the situation in the financial sector.

3.3. Tax policy.

Tax policy in the European Union (EU) has two branches: direct taxation, which remains the exclusive responsibility of the Member States, and indirect taxation, which affects the free movement of goods and the freedom to provide services within the single market.

In terms of direct taxation, the EU has adopted harmonized standards for corporate and personal taxation. Member States have taken measures to prevent tax evasion and double taxation.

3.3.1. European Union taxes and expenses.

In the field of indirect taxation, the EU coordinates and harmonizes legislation on value-added tax (VAT) and excise duties. It ensures that competition in the single market is not distorted by disparities in indirect tax rates and regimes, which could give an advantage to companies in certain countries.

3.3.2. Tax policy mechanisms.

3.3.2.1. The Stability and Growth Pact.

The Stability and Growth Pact consists of two regulations designed to ensure budgetary discipline in the context of EMU. The Pact was created to complement and clarify the Treaty provisions relating to EMU in the second phase of the creation of the Eurozone.

3.4.2.2. European semesters.

The European Semester is an annual cycle, spread over six months, whose aim is to coordinate the economic, budgetary, social and labor policies of the member states of the European Union.

It begins with an overview of the European economy and ends with recommendations for each country, proposed by the Commission in consultation with national administrations. These may cover a wide range of topics: public finances, pension systems, taxation, education, vocational training, the fight against unemployment, etc.

This system was introduced in 2011 to take account of the consequences of the 2008 economic crisis. The European Semester ensures that each member state remains in good economic health. Difficulties experienced by one country, notably a very serious imbalance in public finances, could weaken the others. Sanctions are also provided for in this framework, but have never been applied.

THE EUROPEAN UNION'S EUROPEAN POLICIES

1. THE COMMON AGRICULTURAL POLICY.

1.1. The Directorate-General for Agriculture and Rural Development (DG AGRI).

The **Directorate-General for Agriculture and Rural Development** (DG AGRI) is a Directorate-General of the European Commission responsible for the European Union's agricultural and rural development policy area. DG AGRI's work is closely linked to the Common Agricultural Policy (CAP).

DG Agri's mission is closely linked to the Common Agricultural Policy (CAP). The DG's current concrete concerns are as follows:

- ✓ CAP management and development;
- ✓ Strengthen rural development policy as the "second pillar of the CAP";
- ✓ Safeguarding the European agricultural model;
- ✓ Driving the enlargement process.

1.2. The creation of the Common Agricultural Policy (CAP).

The **Common Agricultural Policy** (CAP) aims to boost the continent's food production while ensuring satisfactory incomes for farmers and decent prices for consumers.

It is based on a number of principles, such as the free movement of agricultural products within the territory of member states, the establishment of common mechanisms for the organization of agricultural markets, and guaranteed minimum prices for producers.

Over the years, the way it works has evolved considerably. Today, it still accounts for almost a third of the European budget, and comprises two pillars designed to support :

- ✓ Farmers through direct aids dependent on surface area or number of livestock;
- ✓ Rural development.

1.3. The new paradigms.

1.3.1. Climate Action.

The **European Climate Pact** is a movement of people united in a common cause, each taking action in their own world to build a more sustainable Europe. Launched by the European Commission, the pact is part of Europe's "Green Deal" to help the EU achieve its goal of climate neutrality by 2050.

1.3.2. The Green Deal.

Climate change and environmental degradation pose an existential threat to Europe and the rest of the world. To meet these challenges, the **Green Deal** will transform the European Union into a modern, resource-efficient and competitive economy, ensuring :

- the end of net greenhouse gas emissions by 2050;
- economic growth uncoupled from resource use;
- that no one is left behind.

The Green Deal is also the EU's way out of the COVID-19 pandemic. One third of the 1,800 billion euros of investment in the NextGenerationEU recovery plan and the EU's seven-year budget will finance the Green Deal.

1.3.3. The Circular Economy.

The **circular economy** will help us decouple economic growth from resource use, protecting Europe's natural resources while stimulating sustainable growth. It will help the European Union strive to reduce its consumption footprint and double its rate of circular use of materials over the next decade.

The circular economy will :

- a healthier planet and less pollution;
- reduce pressure on natural resources such as water and land use;
- reduce emissions to help the EU become the first climate-neutral continent;
- create new business opportunities and high-quality local jobs;
- enable more resilient value chains.

2. COMPETITION POLICY AT INDUSTRIALIZATION.

2.1. Directorate-General for Competition (DG COMP).

The [Directorate-General for Competition](#) (DG COMP) is the body of the European Commission responsible (in collaboration with the national authorities) for applying the European competition rules set out in the Treaty on the Functioning of the European Union (TFEU).

His expertise extends to the following areas: Competition Law, Acquisitions, Liberalization and State Aid.

2.2. The full opening of the market.

The Commission's aim is to complete the internal market for certain services in order to guarantee a high-quality universal service, by opening up the sector to competition in a gradual and controlled way, on the basis of a regulatory framework.

With the abolition of reserved areas, service users can expect an improvement and multiplication of available services. Potential competition from new market players will encourage universal service providers to become more reliable and efficient, and to serve customers even better.

Full market opening will also directly encourage the creation of new jobs in new service companies and, indirectly, in sectors dependent on the sector.

2.3. Abuse of dominant position .

When a company has a large market share, it enjoys a dominant position and must be particularly careful not to abuse it:

- to charge excessive prices, as this would constitute a form of customer exploitation;
- charge unreasonably low prices, as this can drive competitors out of the market;
- discriminate between customers;
- impose certain commercial conditions on its partners.

2.4. Anti-Trust Rules.

The [Anti-Trust](#) Rules prohibit agreements between market operators that restrict competition and the abuse of a dominant position.

European antitrust policy is based on two central rules set out in the Treaty on the Functioning of the European Union:

- Article 101 of the Treaty prohibits agreements between two or more independent market operators which restrict competition;
- Article 102 of the Treaty prohibits companies holding a dominant position on a given market from abusing that position, for example by charging unfair prices, limiting production or refusing to innovate to the detriment of consumers.

The most blatant example of illegal behavior in breach of Article 101 is the creation of an agreement between competitors (cartels), which may involve price fixing and/or market sharing.

3. FROM INDUSTRIALIZATION TO THE CIRCULAR ECONOMY.

3.1. The Directorate-General for the Internal Market, Industry, Entrepreneurship and SMEs.

The **Directorate-General for the Internal Market, Industry, Entrepreneurship and SMEs** (DG GROW) is a Directorate-General of the European Commission. DG Enterprise works to create an environment in which European businesses can thrive.

Improving the business environment must lead to productivity growth and, consequently, create the jobs and wealth needed to achieve the objectives set by the Lisbon European Council in March 2000 (Lisbon Strategy).

Under the Foreign Subsidies Regulation, it is responsible for checking whether **t e n d e r s** for public contracts contain foreign subsidies that distort competition, and it can initiate investigations into other distorting effects of foreign subsidies.

3.2. The reforms.

3.2.1. The Lisbon strategy.

The **Lisbon Strategy**, or Lisbon Agenda, or Lisbon Process, is the European Union's overarching economic and development policy for the period 2000-2010.

The aim of this strategy, set out by the European Council, is to make the European Union "the most competitive and dynamic knowledge-based economy in the world by 2010, capable of sustainable economic growth with more and better jobs and greater social cohesion".

The means envisaged are the implementation of a series of global and interdependent reforms, while actions taken by one member state will be all the more effective if the other member states act in concert. The fields of reform are innovation as a driver of change, the "knowledge economy", and social and environmental renewal. Until now, the European Union's objectives have been based on "political ambition", whereas the Lisbon Strategy belongs to the realm of "idealistic ambition".

3.2.2. Action plans.

A new industrial strategy was proposed by the Commission in March 2020. It aims to finance sectoral "alliances" to improve European competitiveness in areas ranging from clean hydrogen to satellites. In particular, this provision allows member countries to benefit from greater flexibility in terms of state aid in these sectors. The strategy also emphasizes the protection of European intellectual property to ensure a level playing field worldwide.

3.3. European competition policy.

European competition policy (Balance Competition Policy) aims to ensure the continent's economic prosperity by limiting obstacles to business competition. In recent years, this policy has been marked by increased international competition, the Covid-19 pandemic and the Russian invasion of Ukraine.

According to neoclassical economic theory, "pure and perfect" competition is achieved when the market is made up of a plurality of players (elimination of monopolies or oligopolies) who compete on equal terms (fight against dominant positions). This competition should improve efficiency and encourage innovation. On the consumer side, it also leads to lower prices and a wider choice of products.

European competition law prohibits agreements restricting competition between companies, abuses of dominant positions, certain mergers and acquisitions, and certain state aids.

3.4. The new paradigms.

3.4.1. VUCA world.

The concept of **VUCA** - an environment characterized by volatility, uncertainty, complexity and ambiguity - has thus become a major concern for companies in a constantly changing world.

Volatility is the speed and magnitude of changes in the environment. Events can occur unpredictably and abruptly, causing significant disruption to business plans and operations.

Uncertainty is the difficulty of predicting future events and assessing their impact on the company. Available information may be incomplete or contradictory, making decision-making difficult.

Complexity is the multiplication of interactions and interdependencies between the various players in a company's environment. Situations can be chaotic and difficult to understand, with issues that can be difficult to prioritize.

Ambiguity is the difficulty of interpreting available information and understanding what is really at stake. Situations can be unclear and give rise to divergent interpretations, making decision-making difficult.

These four VUCA dimensions are interdependent and mutually reinforcing. They can have a major impact on project management and decision-making.

3.4.2. Environmental, Social and Governance (ESG) criteria.

Environmental, Social and Governance (ESG) criteria report on a company's or sector's environmental, labor law and governance performance.

The three ESG criteria are based on multiple data sources:

- Environmental criteria: waste management, reduction of greenhouse gas emissions and energy consumption, sustainable prevention of risks linked to industrial disasters (oil spills, soil contamination, etc.), carbon impact.
- Social criteria: respect for employee rights and social dialogue in management policy, parity and number of disabled people, prevention of work-related accidents, staff training.
- Governance criteria: combating corruption, transparency of executive compensation, relations between shareholders, management and the Board of Directors.